TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Motivation

2 People in business
2.4 Motivating employees (0450: 2.1)



A revision lesson. Pupils run a car dealership in firms of four and revise motivation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Herzberg: hygiene

Round 1

You raise pay and fix the cold workshop. Complaints stop, but staff work no harder.

Using Herzberg, why did output not rise?

- **A** Pay and conditions are hygiene factors
- **B** Staff need closer supervision
- **C** Staff's esteem needs are already met
- **D** Pay is a motivator, but too small

ANSWER

✓ Pay and conditions are hygiene factors

Why: Hygiene factors remove dissatisfaction but do not motivate.

2 Non-financial ways

Round 1

You cannot afford pay rises this year.

Which two are non-financial ways to motivate?

- **A** A bonus for hitting targets
- **B** Praise and awards for good work
- **C** A staff discount on cars
- **D** Commission on each sale
- **E** More responsibility at work

ANSWER

✓ Praise and awards for good work
✓ More responsibility at work

Why: Praise and responsibility cost little; the other three are money or benefits.

3 Maslow in order

Round 2

Maslow's hierarchy of needs, at your firm.

Put the needs in order, lowest first?

- **A** Esteem: praise for good work
- **B** Physiological: pay for the basics
- **C** Safety: a secure contract
- **D** Social: a friendly team

ANSWER

1. **Physiological: pay for the basics**
2. **Safety: a secure contract**
3. **Social: a friendly team**
4. **Esteem: praise for good work**

Why: Maslow: physiological, safety, social, then esteem, then self-actualisation.

Topic tasks

4 Pay with commission

Round 2

Basic pay plus commission on sales.

Her pay this month?

Basic pay this month	**£1,800**
Her car sales this month	**£85,000**
Commission on her sales	**1%**

ANSWER

£2,650

£1,800 + 1% × £85,000 = £2,650

Why: Commission rises with each sale, so her pay follows her selling.

5 Pay rise or variety

Round 3

Staff say their pay is fair, but the work is the same every day.

Which change should you make, and why?

A A 3% pay rise for all

B More varied, responsible work

ANSWER

✓ More varied, responsible work

Why: Pay is not the problem; varied work with responsibility tackles dull jobs.

6 Maslow: next need

Round 3

A technician has a secure, well-paid job and friends at work, but feels no one values her skill.

Using Maslow, which need should you meet next?

A Social needs

B Esteem needs

C Physiological needs

D Safety needs

ANSWER

✓ Esteem needs

Why: Safety and social needs are met; recognition is an esteem need, which comes next.

Final questions

Each pupil answers 6 final questions on motivation. They come from these 8 questions.

1. Which action is a non-financial method of motivating employees?
   ✔ **Giving technicians more responsibility and recognition for good work**

2. A valeting firm pays workers for each vehicle completed. What is a possible disadvantage?
   ✔ **Workers may rush, reducing service quality**

3. A dealer pays sales staff a basic wage plus commission on each car sold. Which type of motivation is commission?
   ✔ **A financial method**

4. Which is a non-financial way to motivate workshop staff?
   ✔ **Praise and recognition for good work**

5. A salesperson earns £1,400 a month plus 2% commission on sales. In a month with £60,000 of sales, what is the total pay?
   ✔ **£2,600**

6. Why does a dealership want well-motivated staff?
   ✔ **They work harder and are less likely to leave**

7. Valeters swap between washing, polishing and checking cars each day. What is this method called?
   ✔ **Job rotation**

8. At the end of a good year a dealer gives every employee a share of the profit. What is the main aim?
   ✔ **To make staff care about the whole firm doing well**